

2. Why do you need it?

"I invest all my money in stocks and they're liquid, fir toh koi problem nahi honi chahiye."

Problem hai!!

During a financial emergency, having immediate access to funds is a must.



Suppose, you invested all of your savings in the stock market, but then an unexpected bill lands over. Unfortunately, the stock market is at a low at that point, and selling your investments means selling them at a loss!

Here, without an emergency fund, you'd be stuck with no choice but to cash out your stocks at a bad time.